

Risk Management & Day Trading



YAMCO

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Coming out of March, I personally had an incredible day trading run on the dips and subscribers saw how high precision entries with invalidation stops (5-7 pts) were incredible opportunities. Day trading might not be your style and that's ok. You can swing trade entries using conditional orders or set ES buy/sells with pre-set stops at target levels.

I'd say 9.5/10 trades I took from March 30th into late May was planned out in Premarket and executed if/when the market offered the trade. The past week was brutal as I missed multiple large shorts because the trades I envisioned just didn't set up correctly or I got stopped out before the move occurred.

Want to see what I mean?

Check out the short from 6/10 - Was 7377 important (15 minute candles) - absolutely

I bought in for ~9, stopped for ~8 and the 30W call spreads expired max profit. Risk management is a blessing and a curse.



So let's discuss how I see risk management and some rules I use

Here's are some thoughts I posted this past weekend

Some thoughts around day trading SPX

Some of the people who have been around know I have very strict rules for myself d trading ES/SPX on leverage in short (minute- hour time frames) so here's some thin that work for me - I don't know if they work for you.

Here are thoughts/rules that work for me

- Entries are EVERYTHING - they define your risk/reward

- I aim for the view that the R/R (at final target) is 4:1; It doesn't always work that way. I play structure and options positioning to identify S/R and target
- I view my game plan as simply that, how I see entries and targets.
- After I hit T1, my green trade shouldn't be a loser. will it be a big winner - r but it's not a loser.... I can find trade setups normally every day. There are sometimes stretches where I miss entries by dollars for days on end. Last summer, I think there was a stretch of 3-4 days where I missed entries. I do chase the setups personally but some people do.
 - But wait you said 4:1 risk/reward - why are you trimming vs riding it to top.
 - All I can do in this market is execute a view - it's right or wrong, it's to the end user to manage risk and PnL.
- **Size to live and fight another day**
 - I size my trades on the \$\$ I'm willing to lose vs a strict nominal size. I've be doing some call spreads vs futures the past two weeks or so. I've been personally doing smaller size ~ 20 0DTE spreads or 4-6 ES vs my normal 50- spreads or 12-20 ES.
 - What's the nominal size I'm risking?
 - I'm risking ~5-10bp of my portfolio on a trade. I do this for a living and a heavy cash portfolio. I still enjoy the thrill of day trading - I'm young(i At some point, I'll go back to more passive buy/sell stocks and run 80-90 allocations and go about my day a bit more passively.
 - Execute 1-2 trades a day (assuming you win 2 and lose 3) in a week, you still come out ahead if even targets 1 and 2 are hit.
 - Will you have stretches that are drawdowns - sure will. Take a break size down, and wait for conditions to improve.

- Will you have stretches that are near 100% win rate and become invincible - Turn off your computer, take a walk and DO NOT SIZE UP
- **Favorable R/R keep you alive**
 - Find confluence on Volume profiles/ imaginary lines/ support levels/ option data and wait - Being bored isn't a reason to take a trade
 - Identify where you're wrong and execute that game plan even if you get stopped and are "sure you're right"
 - Let's circle back to 4:1. My stops are generally 5-7 pts under my entry which a 0DTE call spread, are generally 10-15% loss (Time of day matters alot here so if you circle back to 4:1, at T1, the call spreads should be about +50%, T2 about +75%, T3 about +125%, so as you scale out, you can achieve about a 4: risk/reward.
 - Illustration
 - Entry: 5k (arbitrary)
 - Risk: 750 (about 15%)
 - T1: 50% (take 30% off) - nominal 15%
 - T2: 100% (take 30% off) - nominal 30%
 - T3: 150% (take 30% off) - nominal 45%
 - runners - trail or hold ~ 10% for let's say max profit at 200% - 20% nominal
 - Add up the nominals — 110% gain vs 10-15% risk.
 - That's nearly a 8:1 risk reward
 - Even if you didn't get the final 2 targets and trailed at BE, you still achieved a ~45% gain for ~15% risk.

- Does it always work out like this - absolutely not, sometimes I take large losses and sometimes the trades just don't work out. It's a numbers game. Find advantageous setups (in your view), take a shot, execute a plan and either win or lose.
- If you do this long enough and develop a craft around it, you should... if you have a great eye and rules have a positive expected value.
- What should you do?
 - No clue.... figure out your risk appetite, keep it steady for a portion of time and adjust.
 - Paper trade some strategies - watch the PnL of the strategies, it's all up to you.
 - What should I (you) risk?
 - I don't know - I don't know your investment horizon, situation and not a financial advisor.
 - Just a few thoughts
 - SPX v SPY
 - I prefer SPX since it's cash settled so if I leave it be, there's no assignment risk - if you don't know what this is, then you shouldn't be trading options.
 - I can't do 25W on SPX - They're too expensive for my risk appetite
 - Consider compressing your spreads to 5/10/15W or do similar SPY strategies - or consider XSP (smaller SPX); One note on XSP, the spreads kind of suck.
 - XSP is cash settled and is SPX/10; SPX 7450 = XSP 745
 - Generally, I'd avoid doing further OTM 25W but you do you
 - What I mean is this...

- If an aggressive strategy is 25W starting ATM, I would not do a 25W starting 30 OTM (unless you're just do 1 as an asymmetric addition).
- The stop out will be more extreme and R/R is skewed.
- debit v credit spreads
 - I prefer debits because my losses are known vs credit (selling your losses can be severe on an outsized move.
 - I know a few of you trade credit spreads off the game plan on OTM spreads on shorts/longs - have at it!

What are my rules (I have a few strict rules)

1. Two straight losses and I'm done for the day
 - a. Under very unique circumstances, I might take a butterfly pin trade for the that's asymmetric like a 6-10:1 trade.
2. 3 trades in a day (scaled down after 1st)
 - a. Example
 - i. Trade 1: 15 spreads (win or lose)
 - ii. Trade 2: 7-9 spreads (win or lose)
 1. If 1 & 2 are a loss, I'm done completely
 - iii. Trade 3: 3-5 spreads
 - b. For me, it's a bit of this - trade 1 is a winner, I want to stay green on the day I'll only risk some profits on trade 2 (my preference).
 - c. Trade 1 is a loser - if Trade 2 goes according to plan, I'll be green (or very minimal red). If trade 2 is a loser, well today was a bust.
3. Miss an entry, miss the trade

- a. See above on Risk/reward - You'll see me say I'm chasing with 10-20% size sometimes. It's generally just a bit of fomo and playing around with small sizes but I don't fomo on full size on a bad entry.

4. Green doesn't become red

- a. some of the people who have been around for a while have seen me bottom tick (stop out) a retest of an entry only for it to go +30-50 in the direction I wanted - such is life. There's another trade tomorrow or later in the week. The game is a grind and there's generally something to do each and every day.

At the end of the day, figure out your rules and spend some times reviewing data to understand what is evident around a trade. Don't like a thesis or want to stop out early then don't take the trade or stop out.

Would love thoughts from others on what works for them, etc!

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Vick Thomas  Jun 13

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1 reply by Yamco



You Got This Trading Jun 11

Great one. I don't use 0DTE Options, just futures since the liquidity is so good and the tax treatment is better in the US. Options levels work for me, and I just buy oversold conditions near support 99% of the time. There are a few rules that can help with drawdowns - like I'll often tell people that are starting out not to take long trades if we are under the VWAP, just let it go. The farther under VWAP usually the worse it is if you are a beginner. That means they are often sitting on their hands, but at least they aren't taking a drawdown while they learn.

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